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REGISTERED OFFICE:

8th Floor, Revenue Tower, Park Avenue,
Kochi – 682011 Kerala, India.
Phone : +91 484 2350 455
Fax No: +91 484 2360 686
www.kochimetro.org

STATUTORY AUDITORS

M/s K Venkatachalam Aiyer & Co.
Chartered Accountants
Building No. 41/3647 B, 1st Floor,
Bluebird Towers, Providence Road,
Kochi – 682018

SECRETARIAL AUDITORS

Shri T.R. Sreeram,
Practising Company Secretary,
Door no. VIII/104A,
'Chandra Vihar'
Maradu, Cochin – 682 304.

INTERNAL AUDITORS

M/s P. Parikh & Associates
Chartered Accountants
2nd Floor, Koduvathara Lane Building
Koduvathara Lane, Civil Lane Road,
Kochi – 682025

COMPANY SECRETARY

B. Anilkumar

OUR BANKS

Canara Bank
State Bank of India
State Bank of Travancore
Indian Bank
HDFC Bank Ltd.
Axis Bank Ltd.
IDBI Bank Ltd.
Federal Bank Ltd.
Dhanalaxmi Bank Ltd.
The Ernakulam District Co-operative Bank Ltd.

BOARD OF DIRECTORS

(as on 14th September, 2018)

Shri Durga Shanker Mishra	-	Chairman, Kochi Metro Rail Limited Secretary, Ministry of Housing and Urban Affairs, Room No.122 C, Nirman Bhawan, New Delhi.
Shri Mukund Kumar Sinha	-	OSD (UT) & Ex-officio Joint Secretary, Ministry of Housing and Urban Affairs, Room No.138 C Nirman Bhawan, New Delhi.
Shri D.K. Saini	-	Director (Projects), DMRC, Metro Bhawan, Fire Brigade Lane, Barakhamba Road, New Delhi.
Shri Dimpy Garg	-	EDME/Chg., Railway Board, Ministry of Railway, Rail Bhawan, New Delhi
Shri L. Narasim Prasad	-	Director (Systems & Operations), Chennai Metro Rail Limited.
Vice Admiral S.K.K. Krishnan	-	Independent Director, A 403, Jal Vayu Vihar, Powai, Mumbai
Shri Tom Jose	-	Chief Secretary Government of Kerala, Government Secretariat, Thiruvananthapuram
Shri Manoj Joshi	-	Principal Secretary (Finance), Government of Kerala, Government Secretariat, Thiruvananthapuram
Shri M. Sivasankar	-	Secretary, IT and OSD to CMO, Government of Kerala, Government Secretariat, Thiruvananthapuram
Shri K. Mohammed Y. Safirulla	-	District Collector, Collectorate, Kakkanad, Ernakulam
Shri A.P.M. Mohammed Hanish	-	Managing Director Kochi Metro Rail Ltd., 8th Floor, Revenue Tower, Kochi.
Shri Kumar K.R.	-	Director (Finance) Kochi Metro Rail Ltd., 8th Floor, Revenue Tower, Kochi.
Shri D.K. Sinha	-	Director (Systems) Kochi Metro Rail Ltd., 8th Floor, Revenue Tower, Kochi.
Shri Thiruman Archunan	-	Director (Projects) Kochi Metro Rail Ltd., 8th Floor, Revenue Tower, Kochi.

KOCHI METRO RAIL LIMITED

Registered Office: 8th Floor, Revenue Tower, Park Avenue, Kochi – 682011, Kerala, India.

Tel: +91 484 2380 980, Fax: +91 484 2380 686, Website: www.kochimetro.org

CIN: U60100KL2011SGC029003

NOTICE OF THE SEVENTH ANNUAL GENERAL MEETING

Notice is hereby given that the Seventh Annual General Meeting of the Shareholders of the Company will be held on 1st December 2018 at 12:00 PM at the Registered Office of the Company at Revenue Tower, 8th Floor, opposite Park Avenue, Kochi - 682011, to transact the following businesses:

Ordinary Business:

1. To receive, consider and adopt the audited financial statements of the Company for the financial year ended 31st March 2018 along with the Report of the Board of Directors, the Statutory Auditors thereon and the comments of the Comptroller and Auditor General of India.
2. To fix the remuneration to the Statutory Auditors M/s K. Venkatachalam Aiyer & Co., Chartered Accountants appointed by the Comptroller and Auditor General of India (for the financial year 2017-18) of Rs. 3,00,000/- (Rupees Three Lakh only) plus out of pocket expenses and taxes.

Special Business:

3. Appointment of Shri Kumar K.R., Director, Finance (Whole Time Functional Director) of the Company.

Consider and, if thought fit, to pass, with or without modifications, the following resolution as an ordinary resolution:

"RESOLVED THAT pursuant to Section 196, 203 and all other applicable provisions of the Companies Act, 2013 read with Schedule V to the said Act and the Rules made thereunder, Shri Kumar K.R. be and is hereby appointed as Director, Finance (Whole Time Functional Director) of the Company for a period of Five years or till the age of superannuation (60 years) with effect from 04.04.2018."

"RESOLVED FURTHER THAT Shri B. Anilkumar, Company Secretary be and is hereby authorized to file necessary statutory forms with the Registrar of Companies."

4. Appointment of Shri D.K. Sinha, Director, Systems (Whole Time Functional Director) of the Company.

Consider and, if thought fit, to pass, with or without modifications, the following resolution as an ordinary resolution:

“RESOLVED THAT pursuant to Section 196, 203 and all other applicable provisions of the Companies Act, 2013 read with Schedule V to the said Act and the Rules made thereunder, Shri D.K. Sinha be and is hereby appointed as Director, Systems (Whole Time Functional Director) of the Company for a period of Five years or till the age of superannuation (60 years) with effect from 02.04.2018.”

“RESOLVED FURTHER THAT Shri B. Anilkumar, Company Secretary be and is hereby authorized to file necessary statutory forms with the Registrar of Companies.”

By Order of the Board of Directors
For Kochi Metro Rail Limited

B. Anilkumar
Company Secretary

Place: Kochi

Date: 27.11.2018

Notes:

1. The explanatory statement pursuant to section 102 of the Companies Act, 2013, is annexed hereto.
2. A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote instead of himself and the proxy need not be a member of the Company.
3. The form of proxy duly stamped and signed must be deposited at the Registered Office of the Company in not less than 48 hours before the meeting. A proxy form is enclosed.
4. Comments from the Comptroller and Auditor General of India pursuant to section 139 (5) of the Companies Act, 2013 will be sent soon after the same is received.

**EXPLANATORY STATEMENT AS REQUIRED UNDER SECTION 102 OF THE
COMPANIES ACT, 2013**

Item No. 3: Appointment of Shri Kumar K.R., Director, Finance (Whole Time Functional Director) of the Company.

Shri Abraham Oommen, Director, Finance, KMRL was relieved from the services of the Company on 31st October 2017 consequent on superannuation, by the Competent Authority.

A Board Sub-Committee consisting of Chairman, Managing Director and Shri Pradeep Kumar, Ex-Member Staff, Railway Board as external expert was constituted vide a Resolution of the Board of Directors, for selection of Director (Finance).

The Committee after interviewing the candidates and assessing their suitability recommended Shri Kumar K.R., Management Consultant to the post of Director, Finance in KMRL.

The Board had approved the appointment vide Circular Resolution 02/2017-18 dated 05.03.2018 and taken note of the same in its 30th Meeting held on 6th June 2018.

In view of the above, Resolution at Item No.3 is recommended for approval by the shareholders.

(Except Shri Kumar K.R., no other Director or Key Managerial Personnel or their respective relatives are concerned or interested in the Resolution at Item No.3 of the Notice.)

Item No. 4: Appointment of Shri D.K. Sinha, Director, Systems (Whole Time Functional Director) of the Company.

Shri Praveen Goyal, Director, Systems, KMRL was relieved from the services of the Company on 23rd October 2017 consequent on the acceptance of his resignation by the Competent Authority.

A Board Sub-Committee consisting of Chairman, Managing Director and Shri Pradeep Kumar, Ex-Member Staff, Railway Board as external expert was constituted vide a Resolution of the Board of

Directors, for selection of Director (Systems).

The Committee after interviewing the candidates and assessing their suitability recommended Shri D.K. Sinha, Chief General Manager (S&T), Delhi Metro Rail Corporation to the post of Director, Systems in KMRL.

The Board had approved the appointment vide Circular Resolution 01/2017-18 dated 05.03.2018 and taken note of the same in its 30th Meeting held on 6th June 2018.

In view of the above, Resolution at Item No.4 is recommended for approval by the shareholders.
(Except Shri D.K. Sinha, no other Director or Key Managerial Personnel or their respective relatives are concerned or interested in the Resolution at Item No.4 of the Notice.)

KOCHI METRO RAIL LIMITED

Registered Office: 8th Floor, Revenue Tower, Park Avenue, Kochi – 682011, Kerala, India. Tel: +91 484 2380 980, Fax: +91 484 2380 686, Website: www.kochimetrorail.org
CIN: U60100KL2011SGC029003

ATTENDANCE SLIP

Please fill attendance slip and hand it over at the entrance of the meeting venue.

Name

Address

Folio No

No. of Shares held

I certify that I am the registered shareholder/proxy for the registered shareholder of the Company.

I hereby record my presence at the seventh Annual General Meeting of the Company held on 1st December 2018 at 12:00 PM at Kochi Metro Rail Limited, 8th Floor, Revenue Tower, opposite Park Avenue, Kochi - 682011

Signature of Member / Proxy

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Form No. MGT-11 Proxy form

[Pursuant to section 105(6) of the Companies Act, 2013 and rule 19(3) of the Companies (Management and Administration) Rules, 2014]

Name of the member(s):

Registered address:

E-mail id:

Folio No/ Client ID:

DP ID:

I/We, being the member (s) of _____ shares of the above named company, hereby appoint

1. Name:

Address:

E-mail Id:

Signature: _____, or failing him

2. Name:

Address:

E-mail Id:

Signature: _____, or failing him

3. Name:

Address:

E-mail Id:

Signature:

as my/our proxy to attend and vote (on a poll) for me/us and on my/our behalf at the seventh Annual general meeting of the company, to be held on 1st December 2018 at 12:00 PM at Kochi

Metro Rail Limited, 8th Floor, Revenue Tower, opposite Park Avenue, Kochi – 682011 and at any adjournment thereof in respect of such resolutions as are indicated below:

Signed this day of 2018 .

No.	Resolution
1	To receive, consider and adopt the audited financial statements of the Company for the financial year ended 31 st March 2018 along with the Report of the Board of Directors, the Statutory Auditors thereon and the comments of the Comptroller and Auditor General of India.
2	To fix the remuneration to the Statutory Auditors M/s K. Venkatachalam Aiyer & Co., Chartered Accountants appointed by the Comptroller and Auditor General of India (for the financial year 2017-18).
3	Appointment of Shri Kumar K.R., Director, Finance (Whole Time Functional Director) of the Company.
4	Appointment of Shri D.K. Sinha, Director, Systems (Whole Time Functional Director) of the Company.

Signature of shareholder

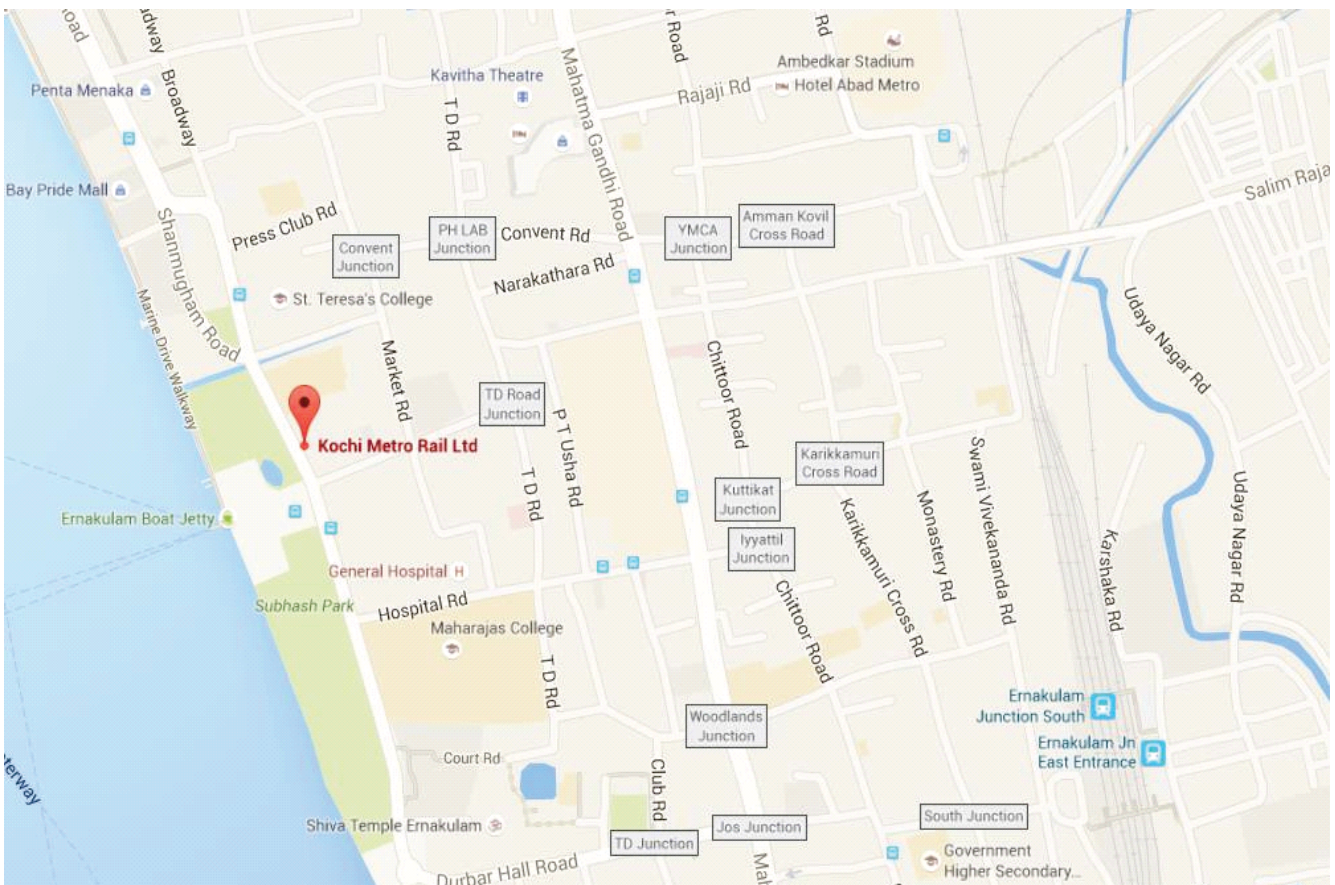
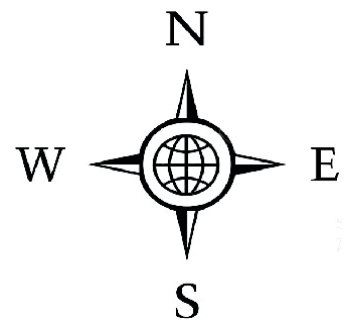
Affix
Revenue
Stamp

Signature of Proxy holder(s)

Note:

1. A Proxy need not be a Member of the Company.
2. This form of proxy in order to be effective should be duly completed and deposited at the Registered Office of the Company, not less than 48 hours before the commencement of the Meeting.

ROUTE MAP



Chairman's Letter



I have great privilege in extending a warm welcome to all of you to the Seventh Annual General Meeting of KMRL being held on 1st December 2018. I would also like to place on record my deep appreciation of the seminal role that you have played in carrying forward the organisational objectives of the Company. As you all are aware, the Company should have held the 7th Annual General Meeting (AGM) before 30th September, 2018; but with the permission of Registrar of Companies Kerala, this date was extended up to 15th December, 2018 consequent upon the catastrophe caused by the flood in the recent past in the State of Kerala.

I would like to start by expressing my appreciation to the Managing Director, Shri A.P.M. Mohammed Hanish for leading the Company to a new trajectory of success. Let me also take this opportunity to place on record my deep regard towards all the stakeholders who contributed their best in furtherance of the Company's objectives.

The Directors' Report and the Audited Annual Accounts of the Company for the Financial Year 2017-18 as well as the Statutory Auditors' Report have already been circulated to you. The comments of Comptroller and Auditor General (C&AG) of India on the Supplementary Audit have been received. The C&AG has issued a nil report.

It is a matter of great pride that your Company had commenced commercial operation for the stretch from Aluva to Palarivattom (Reach 1) on 19th June 2017 and from Palarivattom to Maharaja's College (Reach 2A) on 3rd October 2017 in the year under review. The remaining part i.e., Reach 2B of the project encompassing the Maharaja's College-Petta corridor with a total length of 12.1 km and with 11 stations is expected to be completed in 2019.

The average ridership per day and revenue collection in the first month for Reach 1 was 46,696 number of passengers and Rs. 16 lakh respectively. For subsequent months, the average ridership and revenue per day was recorded at 24,132 number of passengers and Rs. 8 lakh respectively.

On opening of Reach 2A, the average ridership and revenue per day increased to 29,624 number of passengers and Rs. 11.5 lakh respectively. Total fare box revenue from 19th June, 2017 to 31st March, 2018 is Rs 32.17 crore with average ridership of 35,213 per day.

The Board of KMRL had approved Phase II of the Kochi Metro Rail Project from JLN station, Kaloor to Kerala's IT hub at Kakkanad comprising of 11 stations, with a length of 11.2 km. The Detailed Project Report (DPR), after revision under the new Metro Rail Policy 2017, was submitted to the Government of Kerala for its administrative sanction. On approval, it has been forwarded to Government of India and is currently under their consideration. The French funding agency M/s Agence Française de Développement (AFD) has shown interest in funding the project. Once the approval is received, the Phase II Project is expected to be completed within a time span of 4 years.

Apart from providing a modern Mass Rapid Transit System in the city of Kochi, the Company is enlarging its role to become a total transport solution provider for the people. The Company is at work to integrate all modes of public transport, such as the metro, the buses, the ferries and non-motorised transport into a single seamless system, with a single network, a single ticket and a single timetable. In this regard, the Company has also framed a draft Unified Metropolitan Transport Authority (UMTA) Bill, which is under the consideration of the State Government.

I am pleased to mention that the Company, along with Government of Kerala and Kreditanstalt für Wiederaufbau (KfW), has taken up the reins for the execution and operation of the Kochi Water Metro project. This project aims to improve the connectivity between the coastal areas and the islands around the Kochi lagoon and to improve the mobility and the livelihood opportunities of the people living in those areas; so that they can also benefit from the economic opportunities available in the city of Kochi. A separate wing has been set up in KMRL with adequate manpower for the Water Metro Project. KMRL has also engaged a General Consultant for the same. The Kochi Water Metro Project envisages to connect 41 jetties and provide inter-modal connectivity between jetties, bus terminals and metro networks. The project is expected to reduce traffic congestions and pollution in the city and also ease the access to business in Kochi.

It is worth mentioning that the Company has moved forward further in improving non-motorised transportation facilities in the influence zone of the metro in order to improve last mile connectivity; the efforts include developing streetscapes, walking paths and cycle paths as well as improving critical road junctions for improving mobility and for enhancing urban transit safety, with the technical and financial assistance of AFD.

As a part of seamless connectivity of Kochi Metro under the 'Seamless Transport for Kochi' initiative, the Company has entered into agreements with various business establishments for interconnection with metro stations using skywalks/walkways. In this regard, the Lulu Skywalk, connecting Edappally Metro Station with Lulu Mall was opened to the public on 14th June 2018 and the Chennai Silks interconnection bridge was opened to the public on 15th July 2018.

Kochi Metro was also lauded for its introduction of RuPay based transit card – in the name and style 'Kochi 1' card. The 'Kochi 1' card was unveiled by the Hon'ble Prime Minister of India on 17th June, 2017, and is in use since then.

I also appreciate the bold initiatives taken by KMRL for developing the Kochi 1 App, which is a City App for transit and other services for Kochi; similar to the Mobility App available in certain cities worldwide. This App provides a multi-functional digital environment, driven by transportation systems where customers can avail value-added services during their commute. This App is expected to be a spearheading initiative in the country and would also add to the revenue model of your Company from non-operating sources. It is also worth of note to mention the initiatives taken by the Company in developing a journey planner app 'Chalo' with the assistance of Urban Mass Transit Company (UMTC) and M/s Zophop. This app, which was launched on 3rd August 2018, is a multi-modal journey planner app powered through GPS enabled Vehicle Location Tracking (VLT) devices fitted on nearly 850 private buses, 9 boats and Kochi Metro.

The people of Kochi and also from various parts of the State have embraced the Metro system and

accepted KMRL with open arms. I would like to thank the citizens of Kochi and the people of Kerala for their encouragement, support and goodwill, which has enabled KMRL to go forward with these goals, despite the difficulties encountered in project implementation.

I wish to thank the various departments of the Government of India and the Government of Kerala, the Board of Directors and various stakeholders for their unstinted support to the KMRL Project.

I would like to conclude by letting KMRL's employees know how grateful I am, for their efforts. The work of transforming a company is hard, and the pay-off does not happen overnight. We have made tremendous progress, but we still have much to do. Together, I am confident we will complete the transformation of KMRL into a company that creates significant value for all of its stakeholders.

Thanking you,

(Durga Shanker Mishra)
Chairman, KMRL
Secretary, Ministry of Housing and Urban Affairs,
GOI

DIRECTORS' REPORT 2017-18

Dear Members,

The Directors of your Company are pleased to present the Seventh Annual Report on the business and operations of the Company, along with the Audited Financial Statements, Auditor's Report and comments of Comptroller and Auditor General of India thereon for the financial year ending 31st March 2018.

Status of Revenue Operation

The commercial operation was inaugurated on 17th June 2017 by the Hon'ble Prime Minister of India. The average ridership per day and revenue collection in the first month for Reach 1 was 46696 number of passengers and Rs. 16 lakh respectively. For subsequent months, the average ridership and revenue per day was recorded at 24132 number of passengers and Rs. 8 lakh respectively.

On opening of Reach 2A i.e., from Palarivattom to Maharajas College, the average ridership and revenue per day increased to 29,624 number of passengers and Rs. 11.5 lakh respectively.

Total fare box revenue from 19th June, 2017 to 31st March, 2018 is Rs 32.17 crore with average ridership of 35,213 per day and average daily fare box revenue of Rs. 11.24 lakh.

During the financial year 2017-18 your Company made a net loss after tax of Rs. 167.33 crore against the previous year's loss of Rs. 11.15 crore.

A snapshot of the financial result is given below:

Particulars	2017-18
Gross Income	6408.82
Profit/(Loss) before Interest and Depreciation	(2404.61)
Finance Charges	4353.83
Gross Profit/(Loss)	(6758.44)
Provision for Depreciation	9975.30
Net Profit/(Loss) before Tax	(16733.74)
Provision for Tax	-
Net Profit/(Loss) after Tax	(16733.74)

Share Capital and Subordinate debts

The total paid up Share Capital of KMRL as on 31st March 2018 is Rs. 1507.46 crore (previous year

Rs. 1507.46 crore). During the year 2017-18, Government of India provided Rs. 65.91 crore (previous year Rs. 30 crore) as interest free subordinate debt towards Central Taxes. Government of Kerala has provided an amount of Rs 95.91 crore towards subordinate debt (Previous year 152.59 crore). The total subordinate debt received till 31st March 2018 from both the Governments are Rs. 839.85 crore (up to the previous year Rs. 641.43 crore).

During the year 2017-18, an amount of Rs 11 crore (previous year Nil) was received from Govt. of Kerala as reimbursement of Sate taxes

Your Company has received 100% of the approved equity-funding share from the Government of India and the Government of Kerala.

Term Loans

During the year, an amount of Rs. 238 crore was drawn as Pass Through Assistance (PTA) from Government of India against the Agence Française de Développement (AFD) loan. A loan amount of Rs. 371.14 crore was also drawn from Canara Bank during the year. The cumulative loan availed up to 31st March, 2018 was Rs. 1268.43 crore as PTA and Rs. 763.58 crore from Canara Bank.

The Project in Retrospect

Phase I

The Kochi Metro Rail Project was originally conceptualised from Aluva to Petta, for a total length of 25.612 km with 22 stations at an estimated completion cost of Rs. 5181.79 crore. The Reach – 1 of Phase I from Aluva to Palarivattom was dedicated to the Nation on 17th June 2017 by the Hon'ble Prime Minister Shri Narendra Modi, in the august presence of His Excellency the Governor of Kerala, the Hon'ble Chief Minister of Kerala, the Hon'ble Union Minister for Urban Development, Housing, Urban Poverty Alleviation and Parliamentary Affairs and many other dignitaries; followed by inauguration of Reach – 2A from Palarivattom to Maharaja's College, three months later, on 3rd October 2017, by the Hon'ble Chief Minister Shri Pinarayi Vijayan in the presence of the Hon'ble Minister of State (Independent Charge), Housing and Urban Affairs, Shri Hardeep Singh Puri.

Phase IA

It was decided by the Board to extend the metro corridor by another 2 km from Petta to Thripunithura with an additional investment of Rs. 359 crore, as Phase IA, so as to enable the commuters from the Eastern part of the city enjoy the metro advantage.

Phase IB

The Board had also decided to extend the metro corridor from S.N. Junction to Thripunithura with a length of 1.2 km, as Phase IB. DPR of the proposed extension, submitted to GoK on August 2018, is under their active consideration and is expected to be approved soon.

Phase II

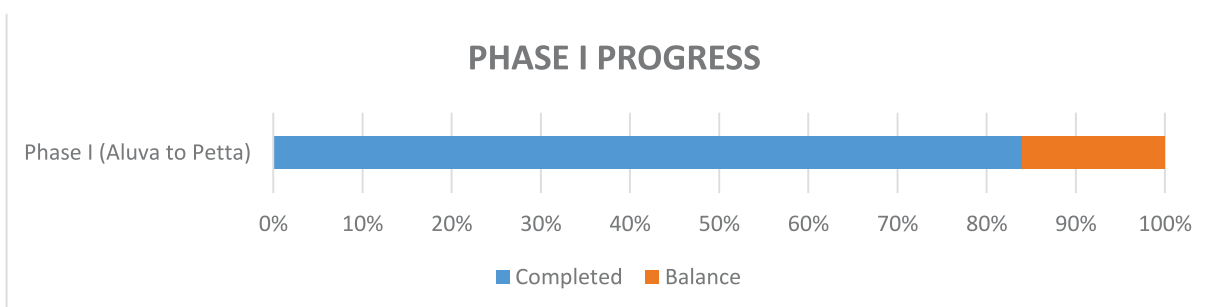
The Board of Directors of your Company had accorded its approval for Phase II of the project from JLN station, Kaloor to Infopark via Kakkanad in order to scale up the passenger carrying capacity and to improve the economic viability of the project. Phase II envisages a total length of 11.2 km, with 11 stations. The proposed Phase II will connect Infopark, Smart City, Cochin Special Economic Zone (CSEZ), Kakkanad and many State/Central Govt. offices along the route. It will be constructed at an additional investment of Rs. 2310 crore which will improve the connectivity to Kerala's prime IT Hub at

Kakkanad. The Detailed Project Report (DPR), after revision under the new Metro Rail Policy 2017, was submitted to the Government of Kerala for its administrative sanction. On approval, it has been forwarded to Government of India and is currently under their consideration.

Project Progress

Overall Physical Progress (Civil)

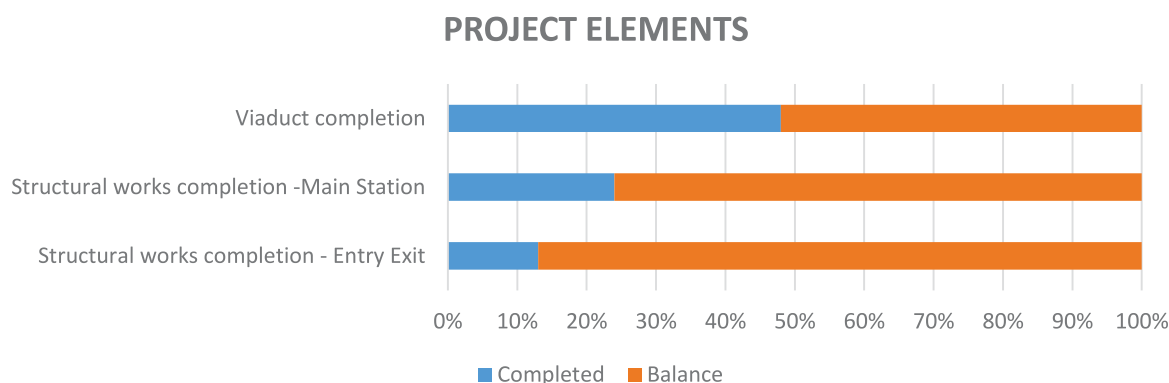
The overall physical progress of Phase I Metro corridor from Aluva to Petta as on 30.06.2018 is as follows:



Reach wise Physical progress

Reach wise physical progress of entire Phase I is given below:

Project Elements of Reach 2B & 2C



Integrated Water Transport Project

Your Company was assigned to execute an urban water transit project named as the Kochi Water Metro Project on behalf of Government of Kerala. GoK is the de-jure owner of the project and your Company is the project executing agency responsible for its execution and operation. The Kochi Water Metro Project envisages to connect 41 jetties and provide inter-modal connectivity between jetties, bus terminals and metro networks. The project is expected to reduce traffic congestions and pollution in the city and also ease the access to business in Kochi. The project has 15 defined routes with a total length of 76 km. The total outlay for this project is Rs. 747 crore (excluding land cost). The German funding agency KfW has signed a loan agreement with Government of India for EUR 85 million on behalf of the German Federal Ministry for Economic Cooperation and Development for the funding of this project.

A consortium, comprising of AECOM, UMTC and Zebec Marine was appointed as General Consultant on 2nd June 2017. Your Company has initiated the survey of the project area for the General Consultant to finalise the project details. The Bathymetric Survey Report for the project area was submitted by Hydrographic Survey Wing of the Department of Ports, GoK on 15th February 2018. Geo-technical and Topographic surveys for the initial phase were completed by M/s. Fugro India and Infratech Surveys Pvt. Ltd. The tenders for the second phase will be floated shortly.

The No-Objection application for Water Metro was submitted to various statutory agencies like Pollution Control Board, National Board for Wildlife, Archeological Survey of India, Kerala Coastal Zone Management Authority etc. and is being processed. M/s WAPCOS is preparing for environmental clearances from Ministry of Environment and Forest & Climate Change (MOEF&CC). The Consent was given on 2nd July 2018 and the public hearing for Environment Clearance was conducted on 23rd July 2018.

M/s KITCO was appointed for Detailed Design Consultancy on 5th June 2018 for the landside terminals. Conceptual layouts of terminals developed by General Consultant were handed over to M/s KITCO for developing the detailed design and Bill of Quantities. The tender for 8 priority terminals is being processed and will be published shortly.

A Request for Qualification for procurement of 100 passenger boats was uploaded on 9th May 2018. The current tender intends to qualify reputed vendors who have the capacity to deliver 23 Aluminum/Steel boats.

The tenders for the terminals and the jetties are under review by KfW.

Rolling Stock and System Contracts

A. Rolling Stock

Rolling Stock deliveries for the remaining part of Phase I are in progress. There are sixteen trains in total that have been commissioned and the balance nine will be delivered in line with the project completion of Reach 2B & 2C of Phase I.

B. Signaling & Telecom

Signaling & Train Control and Telecommunication systems for Reach 2A were tested and commissioned. All 16 trains have been fitted with Automatic Train Projection system and have been made available for revenue operations

The detailed design of Signaling & Telecommunication systems for Reach 2B & 2C have been finalized and procurement of materials is underway.

T5

C. Traction, Power Supply and Electrical & Mechanical

Power Supply and Traction works for Phase-I are in progress. There are two Receiving Sub-Stations (RSS), 24 Auxiliary Sub Station (ASS) and 13 Traction Sub Station (TSS) planned for the Phase I project. Out of that 1 RSS, 18 ASS and 9 TSS have been duly commissioned after obtaining statutory approvals from Ministry of Railways and certifications from Electrical Inspector General (EIG). The work for Reach 2B & 2C section are progressing.

The work for the supply and installation of lifts is progressing. Erection, testing and commissioning of

57 lifts for Reach 1 and Reach 2A sections have been completed, lift licenses have been obtained and passenger service has started. 20 lifts are planned to be installed for Reach 2B&2C of Phase I, which are under procurement and installation.

Installation and commissioning of 74 escalators for Reach 1 & 2A have been completed after getting the due licenses under Kerala Lift and Escalator Act. 27 escalators are planned to be installed for Reach 2B&2C of Phase I, which are under procurement.

D. Solar Plant

KMRL, in keeping with the objective of Kerala Solar Energy Policy and National Solar mission, has gone for the provision of Solar Power Plant at various locations following the Renewable Energy Service Company (RESCO) Mode of project execution. The solar power plant envisaged are both roof-mounted type as well as land mounted ones.

Roof top solar power plant has been commissioned at Reach 1 & 2A in the stations as well as depot building, taking the total installed capacity to 2670KWp. Solar power plant in station rooftops of Reach 2B is in the planning stage.

In Muttom Depot, the works for land mounted solar plant has been awarded to M/s AMPSolar at the rate of Rs. 3.66 per KWh with an expected capacity of 2300KWp. It is expected that the plant will be installed and commissioned in 2018. Once installed, it is expected to meet 40% of energy demands by the time Phase I gets completed.

E. Automated Fare Collection System

AFC equipment, both on site and on cloud, have been installed and commissioned for the entire 16 stations from Aluva to Maharaja's College and has been working satisfactorily since the opening of the section. Installation of AFC equipment to facilitate Lulu mall connectivity is successfully completed and is presently operational.

In addition to QR code & contactless smart card for transit operation, passes were launched for the benefit of regular commuters.

F. Operations:

F.1 KMRL completed the first year of Metro Operations on 18th June 2018. Your Company is running trains with a headway of 7 minutes with 10 trains, thereby clocking a total of 12,79,763 kilometers in the last one year. 80,879 trips have been run with an average punctuality of 99.75%. A total number of 1.3 crore commuters have travelled in the metro in the first year enabling KMRL to earn a fare box revenue of Rs. 42 crore.

F.2 A Training Center with a robust Training & Competency Management system has been established in Muttom Depot, with a facility for training 130 trainees. The Training Center conducts the Induction, General & Safety Training of the KMRL & Outsourced staff. Till now 320 operations staff, 245 maintenance staff, 355 Engineer's Possession In Charges (EPIC), 39 Shunter and Points man have been trained & certified competent. A total of 1679 outsourced staff have also been trained on safety in KMRL System. Apart from that, refresher courses are being conducted regularly in the Training Center. Regular Training Drives for enhancing the safety & operational skills of the operations & outsourced staff are also conducted in the Training Center.

F.3 A robust system of receiving public enquiries and feedback has been established from day one of operations. The facility has been made available from 0600 hrs - 2300 hrs. During the first year of operations a total number of 5448 calls/enquiries were handled.

Non-Motorized Transport and pedestrian-friendly initiatives

In accordance with the guidelines of Ministry of Housing & Urban Affairs (MoHUA) that MRTS projects should facilitate public bike sharing and pedestrian friendly facilities in the influence zone of the stations, envisages multiple projects for the improvement of NMT infrastructure (Phase I). Station oriented development includes revamping or extending the footpath and drains, providing covered walkways, creating drop off points, designated bus bays, parking areas, pedestrian crossings with pelican lights and improvement of existing junctions.

Projects under execution are: -

Sl no	Project title	Awardee	Amount	Status of work
1.	Junction Improvement – Edappally	M/s Palathra Constructions	Rs. 4.2 crore	Completed and opened to public
2.	Junction Improvement – Aluva	M/s Deens Constructions	Rs. 9 crore	Nearing completion
3.	Station Oriented Development – Pulinchodu to Muttom	Mr C.A. George		
4.	Station Oriented Development – Muttom to Edappally Toll		Rs. 8.10 crore	
5.	Edappally- Kaloor Improvement to duct and drain	M/s RS Development	Rs. 24 crore	

Urban Transport

Apart from operating the Metro Rail System in Kochi, your Company is also engaged in the promotion of public transport, building feeder network, use of NMT modes and electric vehicles, implementation of Intelligent Transportation System (ITS) components and improvements in road safety.

1 Aggregation of Bus Systems.

KMRL had facilitated for aggregation of nearly 800 private buses in to 7 cluster based bus operating companies for integrated bus operations. Axis Bank signed agreement with these 7 companies for extending Kochi1 transit card to the bus commuters. The implementation is in progress and will lead to wider adoption of Kochi1 transit card in the city.

2 Journey Planner Mobile Application for strengthening PT system.

KMRL had entered into a Joint Declaration of Intent (JDI) with Urban Mass Transit Company (UMTC) to facilitate a Journey Planner Mobile App. Subsequently, an agreement was signed between the 7 private bus operators and UMTC for development of Journey Planner Mobile App, 'Çhalo'. The Journey Planner is powered through GPS enabled Vehicle Location Tracking (VLT) devices fitted on nearly 800 private buses. Another 450 state owned buses are expected to be mapped under the journey planner app as well.

3. Feeder Network

KMRL is actively promoting use of auto rickshaws for achieving last mile connectivity and has facilitated in aggregating 15,000 auto rickshaws under one Auto Society, 'Ernakulam District Auto Rickshaw Drivers Co-Operative Society'.

KMRL has contracted M/s. Kinetic Green to facilitate E-Autos as feeder to Kochi Metro. The Auto Society will manage the auto rickshaws including e-autos. Additionally, a JDI was signed with M/s Vinsca Electric Vehicles Pvt. Ltd for development of 6-7 seater electric feeder vans through retro fitment kits.

4. CMP envisaged transit studies and reports

Based on the recommendations contained in the Comprehensive Mobility Plan (CMP), feasibility studies have been completed for two Electric BRT (E-BRT) corridors in the city. The proposed corridor has interchange facility with Kochi Metro network at Edappally.

5. Submissions for recognition and achievements (AWARDS)

KMRL received two awards during the year 2017-2018, HUDCO best Practices award in Urban Transport category was awarded for the KMRL Project, "Seamless Transport for Kochi". Urban Mobility Conference (UMI) organized by MoHUA had also awarded the KMRL promoted project "Seamless Transport for Kochi" in the category of "The best city in Urban Transport Initiatives".

6. Light House City Contest (Niti Aayog and Rocky Mountain Institute)

As a city with multi model integrated initiatives, GoK submitted the entry for Light House City Contest, with the assistance of KMRL. Kochi has been selected as one of the five scaling partner cities in the challenge.

7. CPPR Public Transport Day Observance

To encourage Public Transport, KMRL has associated with Centre for Public Policy and Research (CPPR)-Kochi and for observing a special Kochi Public Transport (KPT) Day on the first Friday of every month. During KPT day, KMRL is rewarding the commuters with highest patronage in metro rail (of previous month) travelling with Kochi 1 card, with the prize, "Shreshta Sanchari Puraskaram", memento with Rs.500 recharge coupon. Felicitating public transport commuters on regular basis is done for the first time in the world and it has helped KMRL brand and encourage more footfalls in metro.

Human Resource

In line with the tradition of pioneering HR practices, the Human Resources Department of KMRL has driven myriad changes in the way human resources are managed and developed, striking a balance between business needs and individual aspirations. KMRL follows the value - "Employee Empowerment". It focuses on improving the work culture, employee engagement, productivity,

effectiveness and efficiency.

Staying true to the Mission and Vision statement of KMRL, the manpower required for its operation & maintenance was recruited and training was imparted at Bangalore Metro Rail Corporation Limited. As on 31st March 2018, KMRL has a team of dedicated personnel, 76 in the Projects wing, 419 in the Operation & Maintenance wing & 14 in the Water Transport wing. In view of the ongoing construction activities and the subsequent revenue operations, the intake of manpower and their competency building is in progress. Virtual classroom training programmes using centralized training infrastructure and resources were imparted to the newly recruited technical manpower for building up a competent workforce to meet our future operational/functional requirements.

As part of women empowerment, KMRL has taken cooperation of Kudumbashree (a women's self-help group), for providing services ranging from ticketing, housekeeping & crowd management at stations.

Employment of Reserved Category

The guidelines issued by the GoI from time to time with regard to reservation of services for SCs/STs/PH/OBCs etc. are being meticulously followed. As on 31st March 2018, your Company has employed 44 Scheduled Caste, 1 Scheduled Tribe, 228 Other Backward Class, 9 Ex-Servicemen and 3 differently abled persons.

The Management of KMRL always feels that a motivated, content and satisfied workforce is the key for the successful achievement of the organizational goals. Keeping this objective in view, your Company continues to work for human resource development and realization of its potential. The employer-employee relationship continues to be cordial throughout the year and KMRL could meet the targets well in time.

Corporate Communication Management and presence in Social Media

The past year has been quite phenomenal and eventful for KMRL, with its Corporate Communications Department successfully establishing the Company's online and offline presence. Through prompt and relevant content updates, it has consistently strived to deliver on Kochi Metro's core mission and commitment to the public.

KMRL has received overwhelming response for its social media posts across various platforms, including Facebook, Instagram, Twitter, Google+, LinkedIn and YouTube. The Facebook page garners an estimated 3000 likes every month, organically. Useful and engaging content like Vox Pop videos, GIF, and dynamic images have also played a huge role in expanding the company's online reach. While its LinkedIn page has over 13,500 followers, the Twitter platform has close to 7300, and Instagram, nearly 3100.

To improve its online user experience, KMRL relaunched its website. The new site is equipped with 3D Parallax technology for better visual experience and is developed around the theme, "Kochi Metro Life." With an array of additional features like social media integration, live chat, fare calculator and an extensive video and image gallery, the website has become more engaging, easily navigable and more user-friendly.

To mark the first anniversary celebration of Kochi Metro, 'Kochi Metro 365', a unique photography contest, was organized to capture some of the best human moments in and around the Kochi Metro, and to showcase how the venture had transformed the lives of its people.

In another first, Kochi Metro also adopted an open data policy to improve the public's access to its services. The Company's website now shares information pertaining to stops, routes, schedules, fares and the like, which are converted into the universally accepted GTFS standard. Yet another milestone moment for KMRL this year was its much-celebrated anniversary event. Apart from free rides being offered to the passengers, the event also featured renowned magician, Gopinath Muthukad's 'Time-traveller' show, which was telecast live for the public. Actor Jayasurya and Director Ranjith Sankar added a dash of glitter to the occasion by sharing a metro ride from Edappally station to Maharaja's ground. Kochi Metro is proud to have been able to document the entire event in all its grandeur, across three locations, by employing the latest photography gadgets.

Vigil Mechanism

Your Board in its 23rd meeting held on 18th January 2016, has put in place a vigil mechanism/whistle blower policy in line with section 177(9) of the Companies Act 2013. No further changes have been effected in it subsequently and the same holds good for the financial year 2017-18 as well.

Right to Information

In order to promote transparency and accountability, an appropriate mechanism has been set up across the Company in line with the Right to Information Act 2005. Appropriate officials have been designated as Public Information Officer (PIO) and Appellate Authority for looking after applications related to various departments of the Company. During the year, a total of 142 RTI applications and appeals were processed.

Conservation of energy and technology absorption

In addition to the energy conservation measures through design, measures to reduce energy consumption have been adopted in the system through rationalization of operations:

- Station lighting circuitry has been modified and timers & occupancy sensors have been fitted which will facilitate minimized lighting during the maintenance period beyond service hours.
- There are air conditioned technical rooms and office facilities. After due deliberations, the temperature settings of the rooms have been rationalized and settings enhanced to suit the requirements. Similarly, the temperatures in the trains are also set to 26 Deg.C instead of the automatic setting of 25 Deg.C.

Particulars of loans, guarantees and investments

During the year under Report, your Company has not -

- a. given any loan to any person or other body corporate;
- b. given any guarantee or provided security in connection with any loan to any other body corporate or person; and
- c. acquired by way of subscription, purchase or otherwise, the securities of any other body corporate, as prescribed under section 186 of the Companies Act, 2013.

Related Party Transactions

During the year under report, your Company has not entered into any contracts or arrangements with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013.

Material changes and commitments

There have been no material changes and commitments affecting the financial position of your Company, except for adoption of Indian Accounting Standards (IndAS), statutorily required to be

adopted by companies having net worth of Rs. 500 crore or more.

Fixed Deposits

Your Company has not accepted any fixed deposits from the public under Chapter V of the Companies Act, 2013.

Foreign Exchange Earnings and Outgo

During the year, there was no foreign exchange earnings. However, an amount equivalent to Rs. 0.05 crore was incurred towards foreign travel.

Risk Management Policy

Your Company is committed to identify potential risks before they occur so that the risk management activities may be planned and invoked as and when needed across the life of the project and to mitigate its adverse impacts on achieving the larger objectives.

Keeping this in view, your Company has identified the following specific objectives:

1. to ensure that all the current and future material risk exposures of the Company are identified, assessed, quantified, appropriately mitigated, minimized and managed on time;
2. to ensure that high priority risks are aggressively managed and eliminated;
3. to ensure that all risks are cost-effectively managed throughout the project;
4. to promote information sharing at all levels of the management to make informed decisions on issues critical to the success of the project;
5. to ensure compliance with the appropriate regulations, wherever applicable.

Your Company has adopted the following measures to achieve and improve the specific objectives:

- Engagement of IIM Kozhikode as a consultant for preparation of a Risk Management Policy for the Company.
- Constitution of an internal team consisting of the Company Secretary, the General Manager (HR, Admin and Training) and the Legal Officer to ensure compliance with the various statutes applicable to the Company.
- Conducting quarterly internal audit by independent auditors; their observations are reviewed by the Audit Committee and corrective actions taken wherever found appropriate.
- Physical verification of assets at regular intervals by a team constituted for the purpose and by the internal auditors.
- Use of data encryption technology for communication and storage of data which ensures safety and data security.
- Insure the assets of the Company.

Corporate Social Responsibility

Being a responsible and responsive corporate citizen, your Company is committed to its stakeholders viz., the shareholders, the employees, the management, the suppliers, the customers and the community at large. As an environment friendly metro organisation, your Company has been undertaking initiatives from its inception to improve the standard of living and to enhance the quality of life of the people in Kochi, acknowledging the Company's responsibility towards the society.

Your Company has complied with the provisions of the Companies Act, 2013 in letter and spirit and has constituted a Corporate Social Responsibility Committee comprising of:

1. Shri A.P.M. Mohammed Hanish - Chairman
2. Shri Mukund Kumar Sinha - Member
3. Vice Admiral S.K.K. Krishnan - Member
4. Shri Thiruman Archunan - Member

Although there was no statutory requirement to expend towards Corporate Social Responsibility, your Company voluntarily undertook the following initiatives during the year under report:

- Under the 'Go Green' Initiative, your Company planted more than 5000 trees in and around Kochi city.
- To improve the road travelling experience in Kochi, 50 roads were strengthened using the latest available technology.
- The Company has a walkway development project in Panampilly Nagar with approximately 0.85 KM of walkway, beautification along with Street light and Bollards, tree illumination etc.
- After the inaugural function, a 'Snehayatra' was organized on 18th June, 2017 as a benign effort facilitated by your company for the disadvantaged children and destitute people to ride on our metro system.

Board of Directors

As on 31.03.2018, the Board of your Company comprises of 11 Directors, of whom 4 Directors are nominees of the Government of India, 5 Directors are nominees of the Government of Kerala, 1 is an independent director and 1 is a functional director. The Secretary, Ministry of Housing and Urban Affairs, Government of India is the Chairman, while the Managing Director is a nominee of the Government of Kerala. A detailed note on the Board of Directors is provided under the 'Corporate Governance Report'.

Number of Meetings of the Board

During the financial year 2017-18, the Board of Directors of your Company met four times, on 30th May 2017, 3rd October 2017, 17th January 2017 and 9th February 2017.

Committees of the Board

The Board has constituted eight sub-committees commensurate with the size and nature of the operations of KMRL. These are the Audit Committee, the Corporate Social Responsibility Committee, the Human Resource Development and Nomination and Remuneration Committee, the Operation and Maintenance Committee, the Project Management Committee, the Investment Committee, the Procurement Committee and the Property Development Committee. Each of these sub-committees has clearly spelt out Terms of Reference duly approved by the Board. These sub-committees meet according to the requirements of your Company from time to time. The details of the sub-committees of the Board are provided under the section 'Corporate Governance Report'.

Directors and Key Managerial Personnel

During the year under report, the following Directors were appointed in the place of the named Directors who retired/superannuated:

Sl No.	Name of the Director Ceased	Date of cessation	Name of the Director appointed	Date of appointment
1	ShriJitendra Tyagi	07.04.2017	Shri Sharat Sharma	07.04.2017
2	Shri Laj Kumar	31.05.2016	Shri Anirudh Jain	07.04.2017
3	Shri S.M. Vijayanand	25.04.2017	Smt Nalini Netto	25.04.2017
4	Not appointed		Vice Admiral S.K.K. Krishnan	30.05.2017
5	Not appointed		Smt Sheela Thomas	30.05.2017
6	Shri Rajiv Gauba	01.04.2017	Shri Durga Shanker Mishra	23.06.2017
7	Smt Sheela Thomas	16.08.2017	Not appointed	
8	Shri Anirudh Jain	29.08.2017	Shri Ajit Pandit	29.08.2017
9	Smt Nalini Netto	31.08.2017	Dr K.M. Abraham	31.08.2017
10	Dr K.M. Abraham	09.10.2017	Shri Manoj Joshi	09.10.2017
11	Shri Praveen Goyal	23.10.2017	Shri D.K. Sinha	02.04.2018
12	Shri Elias George	27.10.2017	Shri A.P.M. Mohammed Hanish	27.10.2017
13	Shri Abraham Oommen	31.10.2017	Shri Kumar K.R.	04.04.2018
14	Shri Sharat Sharma	31.12.2017	Shri D.K. Saini	15.03.2018
15	Dr K.M. Abraham	20.01.2018	Shri Paul Antony	20.01.2018

The office of the following Directors remained unaltered during the year:

- Shri Mukund Kumar Sinha
- Shri L. Narasim Prasad
- Shri M. Sivasankar
- Shri K. Mohammed Y. Safirulla
- Shri Thiruman Archunan

Directorial changes that occurred before 31st March, 2018:

- On 7th April, 2017 Shri Sharat Sharma, Director Operations, DMRC took charge as Director in place of Shri Jitendra Tyagi and Shri Anirudh Jain, Additional Member (Works), Railway Board was

appointed as Director (Government of India nominees).

- On 25th April 2017, Smt Nalini Netto, Chief Secretary, Government of Kerala took charge as Director (Government of Kerala nominee) on the Board in place of Shri S.M. Vijayanand.
- On 30th May, 2017 Vice Admiral S.K.K. Krishnan and Smt Sheela Thomas were appointed as Independent Directors of the Company.
- On 23rd June, 2017 Shri Durga Shanker Mishra, Secretary, Ministry of Housing and Urban Affairs, had taken over as Director and Ex-Officio Chairman of the Company in place of Shri Rajiv Gauba.
- On 16th August 2017, Smt Sheela Thomas tendered her resignation as independent director on assuming charge as Member Secretary, Administrative Reforms Commission, Government of Kerala.
- On 29th August 2017, Shri Ajit Pandit, Additional Member (Works), Railway Board took charge as Director (Government of India nominee) in place of Shri Anirudh Jain.
- On 31st August 2017, Dr K.M. Abraham, on being nominated as Chief Secretary, Government of Kerala, retained his position as Director in place of Smt Nalini Netto.
- On 9th October 2017, Shri Manoj Joshi, Principal Secretary (Finance), Government of Kerala, took charge as Director of the Company (Government of Kerala nominee).
- On 23rd October 2017, Shri Praveen Goyal was relieved from the services of the Company as Director Systems, on resignation and on 31st October 2017, Shri Abraham Oommen, Director Finance was superannuated.
- On 27th October 2017, Shri A.P.M. Mohammed Hanish, Chairman and Managing Director, Kerala State Civil Supplies Corporation Limited, was appointed as the Managing Director of the Company in place of Shri Elias George, who tendered his resignation.
- On 20th January 2018, Shri Paul Antony, Chief Secretary, Government of Kerala took charge as Director (Government of Kerala nominee) on the Board in place of Dr K.M. Abraham.
- On 15th March 2018, Shri D.K. Saini, Director Projects, DMRC took charge as Director of the Company (Government of India nominee) in place of Shri Sharat Sharma.

Directorial changes that occurred after 31st March, 2018 but before the date of this report:

- On 2nd April 2018, Shri D.K. Sinha was appointed as Director Systems and on 4th April 2018, Shri Kumar K.R. was appointed as Director Finance of the Company.
- On 28th June 2018, Shri Dimpy Garg, EDME (Chg), Railway Board took charge as Director (Government of India nominee) on the Board in place of Shri Ajit Pandit.
- On 18th July 2018, Shri Tom Jose, Chief Secretary, Government of Kerala took charge as Director (Government of Kerala nominee) on the Board in place of Shri Paul Antony.

MoHUA vide letter F. No. K-14011/2/2015/MRTS-Coord dated 14th November 2017 clarified that an unlisted public company which is a joint venture, a wholly owned subsidiary or a dormant company will not be required to appoint Independent Directors. Nevertheless, your Company continues to have on its Board the Independent Director Vice Admiral S.K.K. Krishnan.

Your Company has the following Key Managerial Personnel as on date:

- Shri A.P.M. Mohammed Hanish, Managing Director,
- Shri Thiruman Archunan, Director, Projects,
- Shri Kumar K.R., Director, Finance,
- Shri D.K. Sinha, Director, Systems,
- Shri B. Anilkumar, Company Secretary.

Performance appraisal of directors

Your company conducts performance appraisals of all three of its functional directors on a yearly basis. In the year under review, only one director Shri Thiruman Archunan, Director (Projects) was in the rolls of the Company while the appraisal was undertaken. His performance was rated 'Outstanding'.

In the case of nominee directors, the performance appraisal is undertaken by the respective governments they are nominated by.

Presentation of financial statements

The financial statements of your Company for the year ended 31st March, 2018 have been disclosed as per Schedule III to the Companies Act, 2013.

Significant and Material orders

No significant and material orders were passed by the regulators or any courts or tribunals impacting the going-concern status of the Company and affecting its operations.

Web link of Annual Return

Annual Return as per Section 92(3) is at <https://kochimetro.org>

Internal Financial Control

The Board has adopted robust policies and procedures to ensure the orderly and efficient conduct of your Company's business by safeguarding its assets, preventing and detecting errors and frauds, ensuring the accuracy and completeness of the accounting records and the timely preparation and submission of reliable financial statements.

Corporate Governance

Your Company adheres to Corporate Governance standards and pursues transparency, integrity and accountability in all its activities. A separate section entitled 'Corporate Governance Report' has been annexed to this report.

Secretarial Standards of ICSI

Pursuant to the approval from the Ministry of Corporate Affairs, the Institute of Company Secretaries of India (ICSI) has revised the Secretarial Standards on Meetings of the Board of Directors (SS-1) and General Meetings (SS-2), to be effective 1st October, 2017. The Company is complying with the same, except with respect to timely conduct of the Board meetings on a few instances.

Auditors

Statutory Auditor

Pursuant to Section 139 of the Companies Act, 2013 M/s K. Venkatachalam Aiyer & Co., Chartered Accountants were appointed as the Statutory Auditors of the Company by the Comptroller & Auditor General of India (C&AG) who shall continue in office till the conclusion of the next Annual General Meeting.

The Report of the Statutory Auditors, being a part of the Directors' Report, has been annexed herewith

Secretarial Auditor

Pursuant to the provisions of section 204 of the Companies Act, 2013, Shri T.R. Sreeram, Practising Company Secretary, was appointed to conduct the secretarial audit of your Company for the year 2017-18. The report from the secretarial auditor and the explanations or comments to every qualification made by the Company Secretary in practice in his secretarial audit report is annexed to this Report.

Internal Auditor

M/s P. Parikh & Associates, Chartered Accountants, Kochi, were appointed as the Internal Auditors of your Company to conduct internal audit and oversee the duties of the internal auditors of the Company and their report is reviewed by the Audit Committee from time to time.

Directors' Responsibility Statement

The financial statements have been prepared in accordance with the Indian Accounting Standards (Ind AS) under the historical cost convention on accrual basis except for certain financial instruments which are measured at fair values and the provisions of the Companies Act, 2013 ('the Act').

The Company has adopted all the applicable Ind AS and the adoption was carried out in accordance with applicable transition guidance. Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in the accounting policy hitherto in use.

In compliance with section 134(5) of the Companies Act, 2013, the Directors state that:

- in the preparation of the annual accounts for the financial year ended 31st March, 2018, the applicable accounting standards have been followed along with proper explanations for material departures;
- the Directors have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of your Company at the end of the financial year and of the profit and loss of your Company for that period;
- the Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of your Company and for preventing and detecting fraud and other irregularities;
- the Directors have prepared the annual accounts on a going-concern basis;
- the Directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems are adequate and are operating effectively.

Other Disclosures – Prevention of Sexual Harassment in the Workplace

The Company has a policy on prevention of sexual harassment at the workplace. The Company has constituted an Internal Complaints Committee in line with the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 consisting of the following members to look into the cases pertaining to sexual harassment of women and to facilitate a safe working environment free from sexual harassment.

Composition of the Internal Complaints Committee:

- Ms. Susan Solomon Thomas - Presiding Officer

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- | | |
|-------------------------------------|---------------------|
| • Dr Lizamma Koshy, Retd HoD (Chem) | - External Member |
| • Maharajas College, Ernakulam | |
| • Ms. Lilly Kutty Raju | - Member |
| • Dr A. J. Augustine | - Member & Convener |

There has been one case of sexual harassment reported during the year under review.

Acknowledgement

Your Directors wish to place on record their sincere appreciation of the assistance rendered by the Central / State Government and local authorities, Office of the C&AG, Statutory Auditors, Secretarial Auditors, Internal Auditors, AFD, KfW, Canara Bank, Ernakulam District Cooperative Bank and other Commercial Banks, Delhi Metro Rail Corporation, both the print and the visual media, contractors, suppliers, vendors, advisors, consultants, customers and various stakeholders connected with the affairs of the Company and thank each one of them. The Board also places on record its sincere appreciation of the commitment and the whole-hearted co-operation extended by the officers and other staff members of your Company.

For and on Behalf of the Board of Directors

(Sd/-)
Chairman

Place: Kochi

Date : 14th September 2018

SECRETARIAL AUDIT REPORT

For the Financial Year ended 31st March, 2018

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule 9 of Companies (Appointment and Remuneration Personnel) Rules, 2014]

Form MR - 3

To,
The Members
Kochi Metro Rail Limited
(CIN # U60100KL2011SGC029003)
8th floor, Revenue Tower
Opp. Subhash Park
Kochi – 682 011.

I have conducted the Secretarial Audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by Kochi Metro Rail Limited (hereinafter called the company). The Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.

Based on the verification of company's books, papers, minutes books, forms and returns filed and other records maintained by the company and also the information provided by the company, its officers, agents and authorized representatives during the conduct of Secretarial Audit, I hereby report that in my opinion, the company has, during the audit period covering the financial year ended on 31st March, 2018 ('Audit Period') complied with the statutory provisions listed hereunder and also that the company has followed the Board processes and has the required compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minutes books, forms and returns filed and other records maintained by Kochi Metro Rail Limited for the financial year ended on 31st March, 2018 according to the provisions of:

- (i) The Companies Act, 2013 (the Act) and the rules made there under;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made there under; (The clause is not applicable as the company is an Unlisted Public Company).
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed there under; (The clause is not applicable as the company is a Unlisted Public Company)
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made there under to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial borrowings (The clause is not applicable during the Audit period)
- (v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board

of India Act, 1992 ('SEBI Act'): (The company being an Unlisted Public Company, Clause (v) and its sub clauses (a) to (h) are not applicable)

(a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;

(b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 1992;

(c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009;

(d) The Securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme Guidelines, 1999;

(e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008;

(f) The Securities and Exchange Board of India (Registrars to an issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client;

(g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2009; and

(h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 1998.

I have also examined compliances with respect to:

(i) The Secretarial Standards, SS-1 (on meeting of the Board of Directors) and SS-2 (on General Meetings) issued by the Institute of Company Secretaries of India and as notified by the Ministry of Corporate Affairs, and report that the Company has complied with the clauses of SS-2. The compliance with clauses of SS-1 is subject to the observations in point 4 below.

(ii) The Listing Agreements entered into by the company with Bombay Stock (s) Exchange Limited, National Stock Exchange of India Limited and London Stock Exchange. **(The Clause is not applicable as the company is an Unlisted Public Company)**

During the period under review, the company has complied with the provisions of the Act, Rules, Regulations, Guidelines and Standards as mentioned above, subject to the following observations:

1. *The Board in its 26th Meeting held on 30/05/2017 had appointed two Independent Directors. Prior to this date, the Company did not have Independent Directors from 01/04/2017 to 29/05/2017 and therefore, is in contravention of Section 149(6) of the Companies Act 2013 for the aforementioned period. The Ministry of Corporate Affairs, Government of India, vide Notification No. G.S.R 839(E) dated 05/07/2017 has exempted unlisted public companies, which is a joint venture, from appointing Independent Directors on its Board. Accordingly, the provisions of Section 149(6) of the Companies Act, 2013 do not apply to the Company with effect from 05/07/2017.*

2. *The Audit Committee of the company met twice on 05/04/2017 and 31/01/2018 respectively. Exemptions have been given to joint venture companies from the provisions Section 177 of the Companies Act, 2013 read with Rule 4 of the Companies (Appointment and Qualification of Director) Rules, 2014 and Rule 6 of the Companies (Meeting of the Board and its Power) Rules, 2014 vide Ministry of Corporate Affairs, Government of India, Notification No. G.S.R 839(E) dated 05/07/2017. Prior to this notification, the Audit Committee should*

meet a minimum of four times a year and should comprise of a minimum of three Directors, out of which, majority should be Independent Directors. The company has appointed two Independent Directors on 30/05/2017. Thus the company is in contravention of the provisions of Section 177 of the Companies Act, 2013 in respect of its Audit Committee meeting held on 05/04/2017 as no Independent Director was on the Board of the company.

3. The company in its 26th Meeting held on 30/05/2017 has appointed a Woman Director in terms of Section 149(1) of the Companies Act, 2013. The Woman Director so appointed tendered her resignation with effect from 16/08/2017. The Nominee Director of Government of Kerala, a Woman Director, superannuated on 31/08/2017. Consequently, the company did not have a Woman Director on its Board for the period 01/04/2017 till 29/05/2017 and from 01/09/2017 till 31/03/2018 respectively. Thus, the company is in contravention of the provisions of Section 149(1) of the Companies Act, 2013 regarding appointment of Woman Director for the period described herein above.

4. During the financial year 2017-18, the company has held four board meetings on 30/05/2017, 03/10/2017, 17/01/2018 and 09/02/2018 respectively. As per Section 173(1) of the Companies Act, 2013, every company must hold a minimum of four Board Meetings every year and not more than one hundred and twenty days shall intervene between two consecutive meetings of the Board. Prior to the meeting of 30/05/2017, the Board of the company met on 30/11/2016. Thus, the company is in contravention of the provisions of Section 173(1) of the Companies Act, 2013 and Secretarial Standard 1 (SS-1) on the meeting of the Board of Directors issued by the Institute of Company Secretaries of India and notified by the Ministry of Corporate Affairs, Government of India.

5. The company has a vigil mechanism in place as per Section 177 (9) of the Companies Act, 2013 which was approved by the Board in its 23rd meeting held on 18/01/2016. As per the Management, the same hold good for the financial year 2017-18 also. However, the Directors Report for the financial year 2016-17 was silent vis-a-vis the vigil mechanism policy of the company.

6. The provisions of Section 134(3) (P) of the Companies Act, 2013 pertaining to establishment of Annual performance of the Board, the Committees and Individual Directors are exempt to the company vide Ministry of Corporate Affairs, Government of India, Notification No. G.S.R 463(E) dated 05/06/2015. However, this exemption is applicable to those Directors who are evaluated by the Ministry of Corporate Affairs or Department of Central Government which is administratively in charge of the company, or as the case may be, the State Government, as per its evaluation methodology. The Board of the company also comprises of Directors who are outside the ambit of this exemption provision. As per the Management, the performance and appraisal of these Directors are carried out annually. The Directors Report for the financial year 2016-17 is silent vis-a-vis the provisions of this Section.

I, further report that based on the guidelines issued by the Institute of Company Secretaries of India, on the applicability of industry specific laws as applicable to the company, and as per the information received from the Management and records maintained, the company has in my opinion, generally complied with the provisions of the following industry specific laws to the extent applicable to it:

- (a) Income Tax Act, 1961;
- (b) Goods and Service Tax Act, 2017;

- (c) Provisions of all Labour legislations governing the Company's employees;
- (d) Inter State Migrant Workmen (Regulation of Employment and Conditions of Service) Act, 1979;
- (e) Building and other Construction Workers (Regulation of Employment and Conditions of Service) Act, 1996;
- (f) Provisions of Environment protection laws;
- (g) Right to Information Act, 2005 and
- (h) Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013.

In respect of Contract Labour (Regulation and Abolition) Act, 1970; a contractor engaged by the company has not procured the requisite licence stipulated under the Act. Subject to this, the company has complied with the provisions of Contract Labour (Regulation and Abolition) Act, 1970.

I further report that:

The Board of Directors of the company is duly constituted with proper balance of Executive Directors and Non-Executive Directors. Composition of Woman Directors and Independent Directors is subject to points 1 and 3 of this report. The change in the composition of the Board of Directors that took place during the audit period was carried out in compliance with the provisions of the Act.

Adequate notice is given to all directors to schedule the Board Meetings. Agenda and detailed notes on agenda were sent at least seven days in advance and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

Decisions at Board Meetings are carried out and recorded in the minutes of meetings of Board of Directors.

There are adequate systems and processes in the company commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

Signature: Sd/-

T R Sreeram

Place: Ernakulam

Date: 20/07/2018

Name of the Company Secretary: T R Sreeram

FCS No. : 4926

C.P. No : 3351

Annexure - A

To,
The Members
Kochi Metro Rail Limited
(CIN # U60100KL2011SGC029003)
8th floor, Revenue Tower
Opp. Subhash Park
Kochi – 682 011.

The report of even date is to be read along with this Annexure.

1. Maintenance of Secretarial record is the responsibility of the management of the company. My responsibility is to express an opinion on these Secretarial records based on my audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in Secretarial records. I believe that the processes and practices that were followed provide a reasonable basis for my opinion.
3. I have not verified the correctness and appropriateness of any of the financial records and books of accounts of the company.
4. Wherever required, I have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of corporate and other applicable laws, rules, regulations, standards is the responsibility of management. I have based my opinion on the basis of information/records produced by the company during the course of the audit and the reporting is limited to that extent.
6. The Secretarial Audit report is neither an assurance as to the future viability of the company nor of the efficacy or effectiveness with which the management has conducted the affairs of the company.

**Signature: Sd/-
T R Sreeram**

Place: Ernakulam

Date: 20/07/2018

Name of the Company Secretary: T R Sreeram

**FCS No. : 4926
C.P. No : 3351**

Corporate Governance Report

Kochi Metro Rail Limited (KMRL) is an unlisted Public Limited Company, and is pursuing the underlying principles of Corporate Governance, based on the canons of financial propriety of honesty, integrity, accountability, adequate disclosures, legal compliances, transparency in decision-making and avoiding conflicts of interest. KMRL believes in stakeholder satisfaction, financial prudence and commitment to values. Therefore, the Board will continue to seek to identify and formalize best practices for adoption by the Company. Our corporate structure, business and disclosure practices have been aligned to our Corporate Governance philosophy.

In the performance of its functions, KMRL is guided by the CVC guidelines, the Articles of Association (AoA) of the Company, the provisions of the Companies Act 2013, applicable accounting standards, regulations prescribed by authorities like the C&AG, provisions of the Right to Information Act, 2005 and Rules made thereunder. In addition, all the applicable statutes governing the functioning of the organization in respect of safety, health, environment, welfare of the employees and those engaged through contractors, provision for fair compensation, rehabilitation and resettlement of project-affected persons etc., are appropriately complied with. During the year under review, the Company has implemented clear policies for the rehabilitation and resettlement of project-affected persons.

Board of Directors

As on the date of this report, the Board of Directors of KMRL comprises of 11 Directors, of whom 4 Directors are nominees of the Government of India, 5 Directors are nominees of the Government of Kerala, 1 is an Independent Director and 1 is a Functional Director. The Chairman is the Secretary, Ministry of Housing and Urban Affairs, Government of India, and the Managing Director is a nominee of the Government of Kerala.

Composition of the KMRL Board as on 31.03.2018: -

1.	Shri Durga Shanker Mishra	-	Chairman
2.	Shri Mukund Kumar Sinha	-	Director
3.	Shri L. Narasim Prasad	-	Director
4.	Shri Ajit Pandit	-	Director
5.	Shri Paul Antony	-	Director
6.	Shri Manoj Joshi	-	Director
7.	Shri M. Sivasankar	-	Director
8.	Shri K. Mohammed Y. Safirulla	-	Director
9.	Vice Admiral S.K.K. Krishnan	-	Independent Director
10.	Shri A.P.M. Mohammed Hanish	-	Managing Director
11.	Shri Thiruman Archunan	-	Director (Projects)

During the period under report, the following Directors were inducted, based on nominations received from both the Governments;

1. Shri Durga Shanker Mishra, Chairman, nominee of Government of India
2. Shri A.P.M. Mohammed Hanish, Managing Director, nominee of Government of Kerala
3. Shri Sharat Sharma, Nominee Director, Government of India
4. Shri Anirudh Jain, Nominee Director, Government of India
5. Smt Nalini Netto, Nominee Director, Government of Kerala
6. Shri Paul Antony, Nominee Director, Government of Kerala
7. Shri Ajit Pandit, Nominee Director, Government of India
8. Shri Manoj Joshi, Nominee Director, Government of Kerala
9. Shri D.K. Saini, Nominee Director, Government of India

During this period, Shri Kumar K.R. was appointed as Director, Finance and Shri D.K. Sinha was appointed as Director, Systems by the Company.

Note of Appreciation

The Board places on record its appreciation for the valuable services rendered and the expert advice provided by Shri Rajiv Gauba, Chairman, who demitted office consequent upon his superannuation as Secretary, MoHUA as well as to Shri Elias George, Managing Director for his guidance and vision in driving the company forward. The Board also places on record the appreciation for the services of Shri Abraham Oommen, Director Finance as well as Shri Praveen Goyal, Director Systems and the following persons who ceased to be Directors during the year under review:

1. Smt Sheela Thomas (up to 16.08.2017)
2. Shri Anirudh Jain (up to 29.08.2017)
3. Smt Nalini Netto (up to 31.08.2017)
4. Shri Sharat Sharma (up to 31.12.2017)
5. Dr K.M. Abraham (up to 20.01.2018)

The Board of Directors of the Company comprises of professionals with proven administrative and execution capabilities, committed to the objectives of the Company and who also collectively direct the Company's affairs.

Attendance record of Directors:

SL.No	Name of the Director	Meetings held in 2017-18 during the tenure of their Directorship	Meetings attended	Attended AGM
1.	Shri Durga Shanker Mishra	3	3	No
2.	Shri Rajiv Gauba	1	1	No
3.	Shri Mukund Kumar Sinha	4	4	No
4.	Shri L. Narasim Prasad	4	3	Yes
5.	Shri Anirudh Jain	1	1	No
6.	Shri Sharat Sharma	2	2	Yes
7.	Shri Ajit Pandit	3	0	No
8.	Smt Nalini Netto	1	0	No
9.	Dr K. M. Abraham	2	0	No
10.	Shri Paul Antony	1	0	No
11.	Shri Manoj Joshi	1	0	No
12.	Shri M. Sivasankar	4	2	No
13.	Smt Sheela Thomas	0	0	No
14.	Vice Admiral S.K.K. Krishnan	3	2	No
15.	Shri K. Mohammed Y. Safirulla	4	1	Yes
16.	Shri Elias George	2	2	No
17.	Shri A.P.M. Mohammed Hanish	2	2	Yes
18.	Shri Abraham Oommen	2	2	No
19.	Shri Praveen Goyal	2	2	No
20.	Shri Thiruman Archunan	4	4	Yes

Information supplied to the Board

The Board is presented before each meeting with relevant information and proposals, which require the Board's consideration in various matters related to the working of the Company, especially those that require deliberations at the highest level. Presentations are also made to the Board by the functional directors on the progress of the project, legal compliance and other important matters from time to time.

Board procedures

Board Meetings are conducted for critical evaluation and review of the performance of the Company and for ensuring effective implementation of management decisions. During the financial year 2016-17, the Board of Directors of the Company met four times; on 30th May 2017, 3rd October 2017, 17th January 2018 and 9th February 2018.

The Company has streamlined a procedure for holding the Board and the Board Sub- Committee Meetings, as explained below.

a) Scheduling and selection of Agenda items for Board/Board Sub-Committee Meetings

- The meetings are convened by giving appropriate notice after obtaining the approval of the Chairman of the Board. To address specific urgent needs, meetings are also called at shorter notice. The Board also passes Resolutions by Circulation, but only for such matters, which are of utmost urgency and which are permissible in terms of the provisions of the Companies Act, 2013; in the relevant year, the appointments of Shri Kumar K.R., Director (Finance) and Shri D.K. Sinha, Director (Systems) were approved by resolution in circulation;
- The agenda papers are prepared by the Heads of Departments concerned and submitted to the Managing Director. Duly approved detailed agenda notes, management reports and other explanatory statements, backed by comprehensive background information, are circulated in advance amongst the members for facilitating meaningful, informed and focused decisions at the meetings;
- In special and exceptional circumstances, additional or supplementary item(s), which are not on the agenda, are taken up for discussion with the permission of the Chair;
- The Board is also informed of major events/items and approvals taken whenever necessary. The Managing Director keeps the Board apprised of the overall performance of the Company at the Board Meetings;
- A review of the status of actions taken on the directives of the Board in earlier meetings also forms a part of the Agenda;
- The members of the Board have complete access to all the information of the Company;
- Also, the Board meetings are conducted in line with the applicable Secretarial Standards.

b) Briefing by the Managing Director

At the beginning of each meeting of the Board, the Managing Director briefs the Board members about

the key developments, including the status of the project and other important achievements/developments relating to the Company in various areas.

c) Recording minutes of proceedings at the Board meeting

Minutes of the proceedings of each Board are recorded and are entered in the Minutes Book. The minutes of the meetings are circulated in accordance with the provisions of the Companies Act, 2013 and the applicable Secretarial Standards. The minutes of the Board Meetings are submitted for confirmation at its next meeting after these are signed by the Chairman. The minutes of the meetings of the Sub-committees of the Board are also placed before the Board for its information.

d) Compliance

The Heads of Departments, while preparing agenda notes ensure adherence to all the applicable statutory requirements, including the provisions of the Companies Act 2013, the Articles of Association and the CVC guidelines.

The employees of the Company pursue the tenets of the Code of Conduct approved and adopted by the Company, while discharging the duties and responsibilities entrusted to them. They always maintain high moral standards and values in contributing towards corporate functioning and the appropriate and timely guidance from the management helps them ensure better governance practices.

Committees of the Board

The Board has constituted eight sub-committees, which are commensurate with the size and nature of the operation of the Company. These are the Audit Committee, the Corporate Social Responsibility Committee, the Human Resource Development and Nomination and Remuneration Committee, the Operation and Maintenance Committee, the Project Management Committee, the Investment Committee, the Procurement Committee and the Property Development Committee. Each of these committees has clearly spelt out Terms of Reference, duly approved by the Board. These Committees meet according to the requirements of the Company from time to time. The details regarding the Board sub - committees are given below.

1. Audit Committee

Composition as on 31st March, 2018:

- | | | | |
|----|------------------------------|---|----------|
| 1. | Shri Manoj Joshi | - | Chairman |
| 2. | Shri Mukund Kumar Sinha | - | Member |
| 3. | Vice Admiral S.K.K. Krishnan | - | Member |
| 4. | Shri M. Sivasankar | - | Member |

During 2017-18, the Audit Committee met twice viz., 5th April, 2017 and 28th July, 2017. In addition to the members of the Audit Committee, these meetings were attended by the Director, Finance and those executives who were considered necessary for providing inputs to the Committee. The Terms of